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Hindustan Petroleum Corporation Ltd. And Others v. Sarvesh Berry .

Supreme Court Of India (Dec 9, 2004)

CASE NO.

Civil Appeal No. 7980 of 2004, decided on December 9, 2004

DISPOSITION

ALLOWED

JUDGES

- Arijit Pasayat
- S.H Kapadia, JJ.

ATTORNEY

- V.K Rao and Ms Madhu Sikri, Advocates, for the Appellants;
- D. Mahesh Babu, Advocate, for the Respondent.

SUMMARY**Factual and Procedural Background**

Hindustan Petroleum Corporation Ltd. (“the employer”) is a Government of India enterprise. On 13 March 1998 the Central Bureau of Investigation (CBI) raided the residence of the respondent-employee and allegedly discovered assets disproportionate to his known sources of income. A *criminal case* under Section 13(2) read with Section 13(1)(e) of the Prevention of Corruption Act, 1988 was registered on 5 May 1998, and a charge-sheet followed after sanction to prosecute was granted on 19 June 2001.

Pending the *criminal* prosecution, the employer served a departmental charge-sheet containing three charges: (1) possession of disproportionate assets, (2) submission of incorrect property returns, and (3) failure to submit property returns for several years as required under the Hindustan Petroleum Management Employees’ (Conduct, Discipline and Appeal) Rules, 1976.

The employee filed a writ petition before the Andhra Pradesh High Court seeking a stay of the departmental proceedings. A learned Single Judge dismissed the petition, permitting both proceedings to continue simultaneously. However, a Division Bench, on appeal, stayed the departmental inquiry until the *criminal* trial concluded. The employer appealed to the Supreme Court.

Legal Issues Presented

1. Whether the departmental proceedings against the respondent should be stayed until the completion of the *criminal* trial concerning possession of disproportionate assets.
2. Whether Charges 2 and 3 (relating to property-return obligations) are distinct from the *criminal* charge and therefore amenable to immediate departmental adjudication.

Arguments of the Parties

Appellants (Employer)

- Charges 2 and 3 are independent of the *criminal* charge; the *criminal* court will not examine failures to file or inaccuracies in property returns.
- The pending *criminal* case has already been delayed for four years; continuing the employee in service without concluding the departmental inquiry is against public interest.
- Simultaneous proceedings are permissible in law, and the respondent can present his defence fully in the departmental forum.

Respondent (Employee)

- Proceeding departmentally would compel premature disclosure of his defence in the *criminal* trial.
- Charge 1 (disproportionate assets) is not covered by the employer's Conduct Rules, depriving the disciplinary authority of jurisdiction.
- Since the *criminal* trial has commenced, the principles in *Capt. M. Paul Anthony v. Bharat Gold Mines Ltd.* require that departmental proceedings be deferred.

Table of Precedents Cited

Precedent	Rule or Principle Cited For	Application by the Court
Capt. M. Paul Anthony v. Bharat Gold Mines Ltd. (1999) 3 SCC 679	Enumerated circumstances when departmental proceedings should be stayed during <i>criminal</i>	Supreme Court applied the guidelines, emphasising that stay is discretionary and not automatic; noted possibilities of proceeding

	prosecution.	when <i>criminal</i> trial is delayed or issues are distinct.
Depot Manager, A.P. SRTC v. Mohd. Yousuf Miya (1997) 2 SCC 699	Analysed the permissibility of simultaneous <i>criminal</i> and disciplinary proceedings.	Reaffirmed the distinct purposes of <i>criminal</i> prosecution and departmental inquiry to support continuation of the latter.
State of Rajasthan v. B.K. Meena (1996) 6 SCC 417	Recognised absence of an inflexible rule mandating stay of disciplinary action during <i>criminal</i> proceedings.	Cited to illustrate that stay decisions must consider <i>case</i> - specific factors and potential delay tactics by employees.

Court's Reasoning and Analysis

The Court reiterated that *criminal* prosecution vindicates societal interests, whereas departmental inquiries safeguard service discipline; the two may proceed concurrently unless overlapping facts and evidence create a risk of prejudice. It observed:

- The burden in a disproportionate-assets *case* under Section 13(1)(e) of the PC Act lies on the accused to explain lawful sources—knowledge uniquely within his special domain. Thus, participating in the departmental inquiry does not compel impermissible disclosure of his *criminal* defence.
- Charges 2 and 3 (non-submission or incorrect submission of property returns) are not part of the *criminal* indictment and therefore can be examined departmentally without impinging on the *criminal* court's domain.
- Delays in the *criminal* trial cannot be used to paralyse the employer's disciplinary control. Allowing employees to prolong *criminal* proceedings while insisting on a stay of departmental action would undermine public interest.
- Applying the factors distilled in Capt. M. Paul Anthony, the *case* did not present “grave” or “complicated” questions necessitating a stay; nor was there evidence of prejudice to the respondent's *criminal* defence.

Accordingly, the Division Bench's blanket stay order lacked justification.

Holding and Implications

Appeal Allowed; order of the Andhra Pradesh High Court set aside. The employer is at liberty to continue the departmental proceedings, while both parties are encouraged to assist the *criminal* court for an expeditious trial.

Implications: The decision reaffirms that disciplinary inquiries need not await the outcome

of *criminal* trials, especially when some departmental charges are distinct or when *criminal* proceedings are protracted. No new legal precedent is created, but existing principles on simultaneous proceedings are restated and applied.

JUDGMENT

Arijit Pasayat, J.— Leave granted.

2. The appellants call in question legality of the judgment rendered by a Division Bench of the Andhra Pradesh High Court which set aside the judgment of the learned Single Judge and directed that departmental proceedings were not to be continued until conclusion of *criminal* charge.

3. Background facts in a nutshell are as under:

Hindustan Petroleum Corporation Ltd. (hereinafter referred to as “the employer”) is a Government of India enterprise.

4. Officials of the Central Bureau of Investigation (in short “CBI”) raided the house of the respondent (hereinafter referred to as “the employee”) on 13-3-1998 and found that he was in possession of assets disproportionate to his known sources of income and consequently a *case* was registered on 5-5-1998. After completion of investigation charge-sheet was filed. In the meantime, departmental proceedings were initiated against the respondent and charge-sheet was issued. The employee filed a writ petition before the Andhra Pradesh High Court taking the stand that departmental proceedings should be stayed till completion of the *criminal case*. It was specifically stated that once sanction has been granted to launch *criminal* prosecution nothing further warrants initiation and continuance of departmental proceedings as the issues involved in both the departmental inquiry and the *criminal case* are identical. The appellants filed counter-affidavit stating that raid was conducted in the year 1998 and after completion of investigation, CBI requested Appellant 1 employer to sanction prosecution on 21-12-2000 and on 19-6-2001 sanction had been accorded to prosecute the employee for the *criminal* charges. Though CBI had filed the charge-sheet there was no noticeable progress for four years. The employer initiated disciplinary proceedings on the ground that continuation of the employee in service of the employer Corporation would not be in the public interest. Learned Single Judge dismissed the writ petition holding that there is no legal bar on departmental proceedings and *criminal case* continuing simultaneously even though they are based on identical or similar set of facts. Reference was made to a decision of this Court in Capt. M. Paul Anthony v. Bharat Gold Mines Ltd. [\(1999\) 3 SCC 679](#) Matter was carried in appeal by the employee before the Division Bench of the High Court in writ appeal and by the impugned judgment the High Court held that there were 3 charges indicated in the charge-sheet. The first related to possession of assets disproportionate to the known sources of income and the other two related to misconduct in (a) not filing correct property returns and/or (b) not filing return at all for some years as required under Rule 13(1) (c) of the Hindustan Petroleum Management Employees' (Conduct, Discipline and Appeal) Rules, 1976 (in

short “the Rules”). The third charge related to failure of the respondent employee to file property returns for the years 1991-92, 1994-95, 1995-96, 1996-97 and 1997-98. The High Court stated that though Charges 2 and 3 related to non-disclosure or non-submission of property returns they are relatable to the first charge relating to possession of assets disproportionate to the known sources of income. It would not be safe to permit the appellants to continue the departmental proceedings till completion of *criminal case*. However, an opportunity was given to take steps for early disposal.

5. In support of the appeal, learned counsel for the appellants submitted that Charges 2 and 3 as noted above are different from Charge 1 which related to possession of assets disproportionate to the known sources of income. The *criminal* court will have no occasion to deal with those charges. Further the *criminal case* is under **Section 13(2) read with Section 13(1)(e) of the Prevention of Corruption Act, 1988** (in short “the PC Act”). It would not be proper to continue the respondent in the employment of the appellants as it would not be in the public interest and in any event the respondent would be able to place facts relevant to all the charges in the departmental proceedings.

6. Per contra, learned counsel for the respondent submitted that the respondent employee would be required to disclose its defence and in any event Charge 1 is not covered by any of the provisions of the Rules and the departmental authorities have no jurisdiction to deal with the matter in any departmental proceedings. Additionally, it is submitted that the trial has commenced and, therefore, the order of the High Court is correct in view of what has been stated in Capt. M. Paul Anthony case [\(1999\) 3 SCC 679](#).

7. It is a fairly well-settled position in law that on basic principles, proceedings in *criminal case* and departmental proceedings can go on simultaneously, except in some cases where departmental proceedings and *criminal case* are based on the same set of facts and the evidence in both the proceedings is common. It is in these cases, the court has to decide, taking into account the special features of the *case*, whether simultaneous continuance of both would be proper.

8. The purposes of departmental enquiry and of prosecution are two different and distinct aspects. *Criminal* prosecution is launched for an offence for violation of a duty the offender owes to the society, or for breach of which law has provided that the offender shall make satisfaction to the public. So, crime is an act of commission in violation of law or of omission of public duty. The departmental enquiry is to maintain discipline in the service and efficiency of public service. It would, therefore, be expedient that the disciplinary proceedings are conducted and completed as expeditiously as possible. It is not, therefore, desirable to lay down any guidelines as inflexible rules in which the departmental proceedings may or may not be stayed pending trial in *criminal case* against the delinquent officer. Each *case* requires to be considered in the backdrop of its own facts and circumstances. There would be no bar to proceed simultaneously with departmental enquiry and trial of a *criminal case* unless the charge in the *criminal* trial is of a grave nature involving complicated questions of fact and law. Offence generally implies infringement of public duty, as distinguished from mere private rights punishable under

criminal law. When trial for *criminal* offence is conducted it should be in accordance with proof of the offence as per the evidence defined under the provisions of **the Indian Evidence Act, 1872** (in short “the **Evidence Act**”). Converse is the *case* of departmental enquiry. The enquiry in departmental proceedings relates to conduct or breach of duty of the delinquent officer to punish him for his misconduct defined under the relevant statutory rules or law. That the strict standard of proof or applicability of the **Evidence Act** stands excluded is a settled legal position. Under these circumstances, what is required to be seen is whether the departmental enquiry would seriously prejudice the delinquent in his defence at the trial in a *criminal case*. It is always a question of fact to be considered in each *case* depending on its own facts and circumstances.

9. A three-Judge Bench of this Court in Depot Manager, A.P SRTC v. Mohd. Yousuf Miya ([1997\) 2 SCC 699](#) analysed the legal position in great detail on the above lines.

10. The aforesaid position was also noted in State of Rajasthan v. B.K Meena ([1996\) 6 SCC 417](#).

11. There can be no straitjacket formula as to in which *case* the departmental proceedings are to be stayed. There may be cases where the trial of the *case* gets prolonged by the dilatory method adopted by the delinquent official. He cannot be permitted to, on one hand, prolong the *criminal case* and at the same time contend that the departmental proceedings should be stayed on the ground that the *criminal case* is pending.

12. In Capt. M. Paul Anthony case ([1999\) 3 SCC 679](#) this Court indicated some of the fact situations which would govern the question whether departmental proceedings should be kept in abeyance during pendency of a *criminal case*. In para 22 conclusions which are deducible from various decisions were summarised. They are as follows:

“22. (i) Departmental proceedings and proceedings in a *criminal case* can proceed simultaneously as there is no bar in their being conducted simultaneously, though separately.

(ii) If the departmental proceedings and the *criminal case* are based on identical and similar set of facts and the charge in the *criminal case* against the delinquent employee is of a grave nature which involves complicated questions of law and fact, it would be desirable to stay the departmental proceedings till the conclusion of the *criminal case*.

(iii) Whether the nature of a charge in a *criminal case* is grave and whether complicated questions of fact and law are involved in that *case*, will depend upon the nature of offence, the nature of the *case* launched against the employee on the basis of evidence and material collected against him during investigation or as reflected in the charge-sheet.

(iv) The factors mentioned at (ii) and (iii) above cannot be considered in isolation to stay the departmental proceedings but due regard has to be given to the fact that the departmental proceedings cannot be unduly delayed.

(v) If the *criminal case* does not proceed or its disposal is being unduly delayed, the departmental proceedings, even if they were stayed on account of the pendency of the *criminal case*, can be resumed and proceeded with so as to conclude them at an early date, so that if the employee is found not guilty his honour may be vindicated and in *case* he is found guilty, the administration may get rid of him at the earliest.”

13. It is to be noted that in cases involving **Section 13(1)(e) of the PC Act**, the onus is on the accused to prove that the assets found were not disproportionate to the known sources of income. The expression “known sources of income” is related to the sources known to the authorities and not the accused. The Explanation to **Section 13(1) of the PC Act** provides that for the purposes of the section, “known sources of income” means income derived from any lawful source and such receipt has been intimated in accordance with the provisions of any law, rules or orders for the time being applicable to a public servant. How the assets were acquired and from what source of income is within the special knowledge of the accused. Therefore, there is no question of any disclosure of defence in the departmental proceedings. In the *criminal case*, the accused has to prove the source of acquisition. He has to satisfactorily account for the same. Additionally, issues covered by Charges 2 and 3 cannot be the subject-matter of adjudication in the *criminal case*.

14. That being the position, the High Court was not justified in directing stay of the departmental proceedings pending conclusion of the *criminal* charge. As noted in Capt. M. Paul Anthony case [\(1999\) 3 SCC 679](#) where there is delay in the disposal of a *criminal case* the departmental proceedings can be proceeded with so that the conclusion can be arrived at, at an early date. If ultimately the employee is found not guilty, his honour may be vindicated and in *case* he is found guilty, the employer may get rid of him at the earliest.

15. Regarding aspects which are related to the *criminal case*, we do not express any opinion. The appellants are free to continue departmental proceedings. Since the *criminal* trial has commenced, it would be in the interest of parties to assist the Court for its expeditious disposal.

16. The appeal is allowed accordingly with no order as to costs.